

MNSO pitch deck

PITCH — MNSO — VERDICT

PROPOSED — PENDING ADJUDICATION — no position now; the file stays open only through the August 28 print, and re-opens only on one specific test inside that print.

What we believe

MINISO (NYSE: MNSO, HKEX: 9896) is a Chinese-listed global variety retailer — ~8,565 stores, two banners (MINISO and TOP TOY). The stock is \$10.68, 0.4% above its 52-week low of \$10.64 and 60% below its 52-week high of \$26.74.

We believe three things, and only three:

1. **Sales are still growing; profits are not.** On August 14 the company itself pre-announced the first half of 2026: revenue RMB 11,450–11,550M (up 22–23%), but adjusted net profit excluding currency effects of RMB 1,210–1,230M — **down 1–3%**. Revenue compounding in the low twenties while earnings go backwards is the whole story.
2. **The June quarter alone is much worse than the half suggests.** Subtracting the already-reported March quarter from the guided half gives a June quarter with revenue up 16–18% and **operating profit of roughly RMB 99–139M against RMB 836M a year ago**. Strip out the one investment mark that distorts it and operating profit is still down **12–17%** on 17% higher revenue. Reported net profit for that quarter is a **loss of about RMB 298M**.
3. **At \$10.68 this is roughly 8–9× the earnings we think it can actually make.** That is not obviously cheap and not obviously a trap. It is priced approximately correctly for a business whose earnings are flat-to-falling.

Conclusion: we do not own it, and we do not buy it before the print.

What the market believes

Two markets disagree with each other.

- **Sell-side research still believes the old story.** Consensus FY26 earnings sit at \$1.56 per share with a mean price target of \$19.71 and a “Strong Buy” rating — a target 85% above the current price, on a stock sitting on its 52-week low. Our own estimate of what the company can earn is \$1.15–1.40. Those forecasts have not been revised for the August 14 pre-announcement.
- **The actual tape does not believe it.** The stock fell roughly 11% (from about \$12.04 to \$10.68) in the sessions after the pre-announcement. The market read the release, did the same subtraction we did, and marked the stock down for it.

So the market has already priced the *event*. What it has not done is update the published forecasts — and those cuts are still owed.

Why we might have edge

- **We opened the second exhibit.** The August 17 filing (accession 0001104659-26-097571) has two attachments. The first is a logistics notice: “*we will report on Friday, August 28, 2026.*” The second is a **complete first-half profit alert** with revenue, operating profit, net profit, EPS and the investment mark. Our initial write-up cited the filing for the print date and never opened the second exhibit — it then spent its effort *estimating* numbers the company had already published. One of our review benches caught that. It is a repeatable failure mode and we are writing it up as a permanent check: on any foreign-issuer 6-K with more than one exhibit, open all of them before doing any reconstruction.
- **We computed the quarter, not the half.** The company guided the half-year only. Every half-year number reads positive (+22–23%, +4–6%, +5–7%). Every derived quarterly number is negative (a net loss, and operating profit down 83–88%). Choosing to pre-announce on the half-year basis is itself information. Neither the published research nor our first pass did this subtraction.
- **We separated the investment mark from the operating business.** MINISO holds a stake in an AI limited partnership carried at fair value. It added RMB 875M to the March quarter and subtracted roughly RMB 598M in the June quarter. That swing dominates reported profit and tells you nothing about stores. Working with the operating line instead is what produces the real finding.

Why it might be priced in

Honestly — most of it probably is.

- The stock fell 11% on the pre-announcement. The information is public, filed, and decoded.
- ~8–9× adjusted earnings is roughly what a retailer with flat earnings deserves. There is no obvious gap between price and value here.
- The one thing genuinely not priced — the sell-side cuts from \$1.56 toward \$1.30 or below — is a reason to **wait**, not a reason to buy. Buying ahead of forecast cuts means bidding into selling pressure we ourselves predict.
- We have a poor track record on this exact setup. Our internal record on “buy the stock that fell on an earnings event” is 0-for-7. When the headline *is* the news, there is usually no dislocation to harvest.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Print date is August 28, 2026	Read the primary filing text directly	<i>“before the U.S. market opens on Friday, August 28, 2026”</i> — 6-K EX-99.1	Yes — primary source
A first-half profit alert exists	Fetches the second exhibit of the same filing	Full guidance: revenue RMB 11,450–11,550M, profit RMB 940–960M, adjusted net ex-FX RMB 1,210–1,230M (–1 to –3%), AI mark +RMB 277M — 6-K EX-99.2	Yes — both benches fetched it independently
June-quarter revenue growth	Half-year guide minus reported March quarter (RMB 5,688.4M), against the year-ago base (RMB 4,966.1M)	RMB 5,761.6–5,861.6M = +16.0% to +18.0%	Yes — reproduced to the decimal
“Growth nearly halved” (our first review bench)	Checked the year-ago comparison the bench skipped	The June quarter laps a much harder base (+23.1% vs +18.9%). On a two-year stack the slowdown is ~360bp, not ~1,150bp	NO — our own bench overstated severity by roughly 3×. Real read: normalisation, not damage
June-quarter operating profit	Half-year operating guide minus March-quarter actual (RMB 1,521.4M), vs RMB 836.2M a year ago	RMB 99–139M, i.e. down 83–88% ; excluding the investment mark, down 12–17%	Yes — and neither bench had computed this before the second review. It is the strongest finding in the file and our first pass missed it entirely
The AI stake is a live, ongoing bleed	Traced the underlying listed asset’s price and its July lockup expiry	The direction is right, but the residual carrying value is ~RMB 488M ≈ US\$69M ≈ 2.1% of market value ; the further decline to August 17 is ~0.3% of market value	Partly — real but immaterial. Our bench called it a kill; it isn’t
The AI stake is MiniMax / 0100.HK	Looked for any primary document naming it	The filing says only <i>“a limited partnership investing in the AI industry.”</i> No primary source binds it to any named company	NO — our bench graded an inference as confirmed. Plausible, unproven, and it does not change the conclusion because the amounts are small
The filing mentions “derivative-related fair value losses”	Re-fetched the exhibit and searched the text	That phrase is not in the document — it cites higher selling and distribution expenses	NO — our bench quoted language the filing does not contain
Sell-side forecast gap	Pulled consensus and compared to our own build	Consensus \$1.56 vs our \$1.15–1.40. Our bench’s first version compared reported earnings to adjusted forecasts and got a 3× gap; on a like-for-like basis it is 12–35%	Partly — the gap is real, the first sizing of it was wrong
Our own valuation is internally consistent	Reconciled the two per-share numbers our benches produced	They disagree: RMB 2.5–2.7bn of FY26 adjusted profit works out to \$1.15–1.25 per share , while another line in the	NO — unreconciled. We carry the honest range 7.6×–9.3×

Claim	How checked	Found	Confirmed?
		same review says \$1.30–1.40 . The difference is an unstated assumption about second-half seasonality	rather than pretending to one number
“Coverage is stale, discovery hasn’t happened”	Checked the tape around the announcement	The stock fell ~11% on the news. The market discovered it fine	NO — our bench’s framing was wrong
TOP TOY consumer-interest reading of 0.0	Sanity-checked against reported segment results	TOP TOY grew 51.4% to RMB 514.5M in the March quarter. A 0.0 interest score is almost certainly broken instrumentation	NO — cited uncritically by one bench; treat as unusable
Balance sheet / share count	Attempted to pull capital structure	Not pulled. Share count only derived (~1,215M ordinary $\approx$ 304M ADS, from profit $\div$ EPS). Net cash unverified	NO — open gap
Gross margin into the print	Searched the pre-announcement	Gross margin is absent from the alert. The 43.3% vs 44.2% trend is uninstrumented	NO — open gap, and it is the one that matters most

Two structural errors are worth naming plainly, because they are ours and they recur: **(a)** we read the wrong exhibit of a multi-exhibit filing and then reconstructed what was already stated; **(b)** we reported a raw year-over-year slowdown without checking what the prior-year quarter did, which inflated the apparent damage roughly threefold.

PROPOSED ENTRY BANDS

There is no entry today. Do not buy before August 28. Reasons: the company has already published the bad half, we expect published forecasts to be cut, and buying into cuts we predict ourselves means paying for flow we created.

The single re-open test — August 28, 2026, pre-market:

Condition in the June-quarter report	Action
Gross margin $\geq$ 43.3% and selling/distribution expense as a share of revenue flat or lower	Starter position, maximum 0.5% of book , at or below \$11.20 ($\approx 8\times$ the midpoint of our adjusted earnings range). Buy in one clip, no averaging in.
Gross margin below 43.3% and cost ratios still rising	Close the file permanently. No re-court, no watchlist.
Mixed (margin holds, costs rise, or vice versa)	Stay flat, re-court once with the actual income statement in hand.

Additional conditions on any starter: - Price ceiling: \$11.20. Above about \$12.60 the stock is trading through $9\times$ even the most generous version of our own earnings estimate, and the starter is cancelled regardless of the margin test. If the stock gaps up on the print, we do not chase. - **No adds are authorised.** Nothing beyond 0.5% of book without a fresh review — no bench in this file sized anything larger, and inventing a bigger number here would be unsupported. - **No exits or trims to specify** — we own none. - **What would flip us back to constructive without the margin test:** June-quarter revenue **above RMB 6.obn** ($>21\%$ growth), which would mean our split of the guided

half was wrong; or same-store sales in China still positive mid-to-high single digits with overseas accelerating, which would make the slowdown a store-mix effect rather than lost traffic.

Catalyst dates: - 2026-08-28 — June-quarter and interim results, before U.S. open; call at 5:00 a.m. ET. **Confirmed by the company's own filing. - Late November 2026 (date not announced)** — September-quarter results, which carry the next mark on the AI investment. The underlying asset fell a further ~20% between June 30 and August 17, so another negative mark is already accruing. It is worth about 0.3% of market value: noise, not a catalyst.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 10.64 (deck-provisional: breaks the 52-week low before the print — market pricing something worse than the guided half; re-read)
- filing watch: 6-K until 2027-02-14 (deck-provisional: August 28 interim report — carries the gross margin and operating expense lines the pre-announcement o)
- dated pack MNSO|2026-08-28: MNSO: June-quarter and interim results, before U.S. open; call 5:00am ET — the single test that decides starter vs close-the-file (date conf
- dated pack MNSO|2026-11-30: MNSO: September-quarter results carrying the next AI investment mark (~0.3% of market value; date not announced by the company) (date confir

What remains unverified

- **Gross margin and operating expense detail for the June quarter.** Absent from the pre-announcement. This is the one number the entry decision turns on, and we will not have it until the print.
- **Balance sheet.** Net cash, debt, and any convertible securities are not pulled. Share count is derived from profit ÷ earnings-per-share, not read from a filing. Every valuation multiple in this deck is therefore equity-value-based, not enterprise-value-based.
- **Which AI partnership this is.** The filing names no company. The identification circulating internally is an inference from a listed stock's price movement, not a document. It does not change the conclusion — the amounts are ~2% of market value — but it should not be repeated as fact.
- **Where the investment mark sits in the income statement.** Our key finding (operating profit down 12–17% excluding marks) assumes the mark sits below the operating line. That was inferred from a divergence in the March quarter's numbers, not read off a presented income statement. The August 28 report settles it.
- **Currency treatment across periods.** The company's "adjusted, excluding foreign exchange" figures for the March quarter and the half are not fully reconciled to each other.
- **Consumer interest data.** The TOP TOY reading (0.0) contradicts reported 51% segment growth and is probably a broken feed. We are not using any of the three consumer-interest signals

as evidence in either direction.

- **Supplier base behind the 43.3% gross margin.** Never examined. Import/shipping records on MINISO's trading entities would test whether margin pressure is sourcing cost or price competition.
- **Price basis.** Every multiple here uses the \$10.68 quote supplied with the research pack, not a live broker quote. Re-price before any order.

Where the two reviews landed: the first review recommended rejecting the name outright; the second overturned that in part — the demand-collapse case was overstated, the AI-investment case was immaterial, and the stale-forecast case is about timing rather than a reason to reject. What survived, and got stronger, is the operating-profit decline. Both reviews agree on the action: **no position into August 28**. They disagree on whether the file should close now (first review) or after one more data point (second). This deck follows the second: one test, one date, then either a small starter or the file closes for good.

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